

The complaint

Mr M complains that Society of Lloyd's (Lloyds) have unfairly declined his Unoccupied Property insurance claim for an escape of water.

Lloyds used a number of suppliers in Mr M's claim. But I'll only refer to them in my decision.

What happened

Mr M had Unoccupied Property insurance with Lloyds from December 2019. He said he decided to take out such a policy instead of his normal home insurance policy as he knew that his previous home insurance policy wouldn't be appropriate as he would be away from his house, leaving it unoccupied, for about a year.

Mr M said that on 27 February 2021, his daughter, who checked on his property regularly, discovered that there had been a leak from the loft. He said a lot of water had escaped causing severe damaged to both the house and its contents. Mr M notified Lloyds of his claim the same day.

Lloyds completed their preliminary report on the property damage on 8 March 2021. And referred the claim internally for further comments. A further review of the damage was arranged and a report issued on 16 April 2021.

After reviewing the reports, Lloyds declined the claim and cancelled Mr M's policy. Mr M said that Lloyds said that he hadn't correctly represented his circumstances at the time he first took out the policy in December 2019. And that when he'd subsequently renewed the policy in December 2020, the policy wasn't going to respond to the water damage claim. Mr M complained to Lloyds on 17 April 2021.

Lloyds obtained the screen report dated 30 April 2021 from a further site visit on 23 April 2021. This report concluded that the incoming cold-water mains water supply couldn't have been fully isolated at the time of the incident.

Lloyds issued their response to the complaint on 30 April 2021. They didn't uphold it. They said that when asked: "*When will the insured property become occupied?*" in his Statement of Fact when first purchasing the insurance, Mr M had stated that he would occupy the property after a period of nine to 12 months. They also said that he'd confirmed that he intended to work abroad for a year, but that during his claim he'd told them that he'd always intended to stay in the property every three to four months, whilst visiting family in the UK. Lloyds said that the sales call wasn't recorded, so they could only base their conclusions on the Statement of Fact. They also said that although Mr M had received two Statements of Fact, they had no record of him telling them that the information was incorrect or had changed. They said that the policy document defined "occupied" as "*where the buildings have been lived in by you or any person(s) authorised by you for more than 7 consecutive days during the period of insurance*". And that this meant that given Mr M's plans to stay in the property while visiting family in the UK, the Unoccupied Property policy was inappropriate for his needs. They said if Mr M had told them that he intended to occupy the property, they wouldn't have provided him with an Unoccupied Property policy, but with a

Holiday Home Policy. As Lloyds deemed that the policy wasn't appropriate for Mr M's demands and needs, they said they were required to cancel his policy from the original inception date up until the end of the current term, 10 December 2021. They said they'd give him a short period of grace so he had time to purchase alternative insurance. But that during that time, the cover they would provide would be based on the Holiday Home Policy basis. They noted various restrictions of that policy, including that it didn't provide cover for escape of water claims. Lloyds also said that they would return the total premium Mr M had paid for the two years. This totalled £1,103.66. They said the return of the premium in respect of the first year was a gesture of good will on the basis that Mr M had been unable to occupy his property every three to four months due to coronavirus restriction. So this meant that the property had been unoccupied for the majority of the policy term.

Mr M didn't accept Lloyds' conclusions. He said that although they had the right to cancel his policy under its terms, they had to give him 30 days written notice. He said he didn't think he'd be able to re-insure the property at such short notice.

Lloyds offered to escalate Mr M's complaint further. They agreed to extend the cover until 28 May 2021, but said they would not provide cover beyond that date. They also repeated that the cover provided would be under the Holiday Home Policy with the restrictions they'd highlighted in their 30 April 2021 letter.

Mr M asked to see a copy of the screen report. And a copy of the initial report from the plumber. Lloyds provided the requested documents.

On 3 June 2021 Mr M told Lloyds that he felt he'd been misled by both Lloyds and his broker. He said his health had suffered due to the handling of his claim. He said he'd decided not to further pursue his complaint as he didn't want to prolong the stressful situation. He asked Lloyds to return his premiums as soon as possible. I understand that Lloyds refunded the premiums the same day.

Lloyds repeated their offer to escalate Mr M's complaint. And he accepted their offer. He asked that Lloyds at the very least made a reasonable ex gratia offer.

Lloyds issued their final response to the complaint on 16 July 2021. They didn't uphold it. They said that after a thorough review of the file they couldn't criticise underwriters' decision.

Mr M didn't accept the findings. He asked Lloyds to reconsider before bringing his complaint to this service. Lloyds declined to do so. So Mr M brought his complaint to this service.

Our investigator felt that the complaint should be partially upheld. She considered that Lloyds had fairly avoided the policy and declined the claim in line with CIDRA at renewal in December 2020. But she didn't think that they should have avoided the policy from 2019-2020. She recommended that Lloyds remove the cancellation for the 2019-2020 policy year.

Lloyds didn't agree with our investigator. They considered that at inception in 2019 Mr M hadn't disclosed that he intended to occupy the property every three to four months. They said he'd also indicated that the property would be unoccupied for nine to 12 months. Therefore they felt that they'd correctly avoided the policy from the start.

Mr M didn't agree with our investigator. He made the following points:

- He said he'd told the broker through which he'd bought the insurance that he was temporarily occupying the house in December 2020. Therefore he disputed Lloyds' point that if they'd been made aware that was occupying the property in December

2020, they wouldn't have offered him the Unoccupied Property insurance policy.

- His broker had agreed to renew Unoccupied Property insurance policy for another year in December 2020. And that they'd noted his comments and instructions to renew on the basis that he was leaving the UK again and the house would be unoccupied.
- He confirmed that he left the UK on 5 February 2021 and that his house was then again unoccupied and was going to remain that way for the remainder of 2021. So he felt he'd renewed the Unoccupied Property insurance policy in good faith.
- He said the leak had occurred while the property was unoccupied.

As agreement couldn't be reached, the complaint came to me for a final decision.

I issued my provisional decision on 6 May 2022. It said:

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

Having done so, I've reached a different conclusion from our investigator. I don't intend to uphold the complaint. I don't agree that Lloyds acted unfairly or unreasonably when they avoided the policy from inception. I'll explain why.

I first considered what Mr M told his broker at the policy inception. This is key to the whole complaint. I've also reviewed the information contained in the Statement of Fact completed at that time.

Mr M said that he told his broker that he was planning on returning to the UK to visit his family and stay in the insured property every three to four months. Lloyds said there's no evidence that Mr M told his broker that this would be the case at the policy inception. From what I understand, there's no record of the inception call as Mr M's broker did not record it.

Our investigator felt that Lloyds had accepted that Mr M had told his broker that he'd be staying in the property. She said they'd said in their business file:

"Mr M informed [broker name] that he would reside in the property every 3-4 months. Mr M did not inform [broker name] that he intended to reside at the property for 3-4 months (long periods) at a time, and had he informed [broker name] of this, [broker name] would have confirmed staying at the property for such durations would not be appropriate for an unoccupied product". Lloyds subsequently told this service that they'd made a typographical error in the above statement. They said they had intended to say that: "Mr M had NOT informed [broker name] that he would reside in the property every 3 - 4 months at point of sale".

Our investigator said that Lloyds couldn't provide information to show that Mr M didn't inform his broker that he'd be staying in the property. She was more persuaded by the evidence that Mr M did disclose to his broker that he planned on returning every three to four months for a visit to the UK.

Lloyds didn't agree with our investigator. They didn't feel it was reasonable to conclude that just because no recording of the inception call was available they should accept Mr M's recollection of what was discussed. They said this because the 2019 Statement of Fact was contemporaneous written information of what was disclosed when the policy was taken out. They noted that it had clear questions and answers including:

"Is the Insured Property occupied from the inception date? No

When will the insured property become occupied? 9-12 months"

So they felt that Mr M had declared that he wouldn't be occupying the property at any time in the next nine to 12 months.

I've also looked at the terms of the Unoccupied Property insurance. These define "occupied" as:

*"Where the **buildings** have been lived in by **you** or any person(s) authorised by **you** for more than 7 consecutive days during the **period of insurance**."*

I consider that this term is clearly written. And shows that the insurance wouldn't be appropriate for anyone planning on staying in the property for more than seven days at a time. Mr M has said that he always intended to stay in the property for more than seven days at a time. Therefore, based on what Mr M himself has said, I consider that the Unoccupied Property policy wasn't suitable for his needs.

Without a recording of the inception call, it's difficult to know exactly what was discussed. We have Mr M's recollections. And we also have the Statement of Fact.

The first page of the 2019 inception documentation, covering the period of insurance from 11 December 2019 to 10 December 2020 stated:

IMPORTANT NOTICE

Please check this document or schedule.

It also had the following disclosure statement:

You are reminded that this document is based on the information you have provided us and this information forms the basis of the insurance contract. You must notify your broker without delay of any incorrect information or if any amendments are required. If you do not do so, your insurance cover may not protect you in the event of a claim and your insurance may be invalidated.

You must take reasonable care to provide complete and accurate answers to the questions we ask when you take out, make changes to, or renew your policy.

Page 5 of the document contained a declaration which stated that:

the Insured must:

A. Disclose to the Insurer every material circumstance which the Insured knows or ought to know. Failing that, the Insured must give the Insurer sufficient information to put a prudent insurer on notice that it needs to make further enquiries in order to reveal material circumstances. A matter is material if it would influence the judgement of a prudent insurer as to whether to accept the risk, or the terms of the insurance (including premium)

The declaration also stated that the insured must:

C. Ensure that every material representation of fact is substantially correct, and that every material representation of expectation or belief is made in good faith.

Mr M was required to answer a question to confirm that he had read, understood and agreed

to the above declaration, which he did.

I think these statements make it clear that the prospective insured must disclose all information material to the insurance. And they must confirm that they have provided accurate answers. They also must confirm they've read and understood the declaration.

The documentation contains questions on occupation of the property, including the ones that Lloyds have referenced earlier. There was also a confirmation, which stated:

Property is insured main house, he is working abroad for a year.

I have no way of knowing exactly what Mr M told the broker during the inception call. But I agree with Lloyds that the Statement of Fact should provide a good record of what was discussed. I say this because of the wording in the declaration, which Mr M had to confirm he'd read and understood.

Therefore I don't agree with our investigator that without the inception call recording, we should assume that Mr M did inform his broker that he'd be regularly staying in the property for more than seven days. I'm more persuaded by the information recorded in the Statement of Fact. And I consider that this shows that Mr M didn't expect to return to his property for nine-12 months, because that's what the Statement of Fact records.

Overall, I consider that Mr M didn't disclose at inception that he intended to occupy the property every three to four months for more than seven days. And he also said that the property would be unoccupied for nine to 12 months. Therefore I'm satisfied that Lloyds correctly avoided the policy from the start.

I've also reviewed the 2020 renewal documentation. The responses recorded are broadly the same as for the 2019 inception. However, the answer to the question:

"How long has the property been unoccupied for?" Was recorded as "More than 1 year".

Mr M said that he explained to his broker exactly his set of circumstances. He said he told them that he was going to work abroad for a year. He also said that he was away from the house working abroad from December 2019 until mid-November 2020. And that he'd only planned to stay in the UK until mid-January 2021, but ended up having to stay in the property until 5 February 2021 due to coronavirus restrictions. He said that the whole purpose of seeking out and purchasing the Unoccupied Property insurance policy in December 2019 was because he was going to be working abroad for a year and the house would be unoccupied.

Lloyds confirmed to our investigator that the policy was renewed on 2 December 2020 through a call from Mr M to his broker. They also said that Mr M hadn't informed his broker at the time he renewed the policy that he was currently staying at the property due to coronavirus restrictions. They said that the broker hadn't been told about any variation to Mr M's policy. They said it was the customer's responsibility to declare any changes to the policy. And that they would've expected him to notify his broker that he was residing at the property. They said this would have shown that he had fallen outside the coverage requirements. Lloyds also said that the Unoccupied Property policy wouldn't have been offered to Mr M at renewal if he'd explained his situation. They said he would've been offered a Holiday Home Policy instead. They said this was because the Unoccupied Property policy was specifically designed to provide coverage for unoccupied properties not occupied consecutively for more than seven days. They also said that Mr M had been required to notify them when his circumstances changed. And that he should've done this within 14 days of knowing of such changes. They said they hadn't been able to identify any

notification from Mr M prior to his claim to inform them of a change in his circumstances.

From what I've seen, Mr M's property wasn't unoccupied for more than a year. I say this because of what Mr M has told this service. He said that although he intended to return to the UK every three to four months and to stay in his house, he hadn't been able to due to coronavirus restrictions. But he said that he did return to the UK in November 2020 and said that he stayed at his house for nearly three months, leaving on 5 February 2021. He said he renewed his policy when he was back in the UK in November 2020. I acknowledge that Mr M said he was out of the country when he received the renewal documentation. And that he only returned to the UK a few days after that. But it's evident that his house hadn't been unoccupied for "More than 1 year" on either 10 November 2020, when Mr M completed the renewal documentation, or 10 December 2020, when the policy renewed.

So it's clear that the Statement of Fact for the 2020 renewal recorded incorrect information. Mr M's house hadn't been unoccupied for more than a year when the policy was due to renew. Mr M was living in it at the renewal date.

The renewal documentation also recorded that the question:

"Is the Insured Property occupied from the inception date?" was answered "no". I acknowledge that it was correct at the point that Mr M completed the paperwork. But the question asked "from the inception date" of the policy, which is 10 December 2020. Therefore this information was also incorrect. And the policy was offered on the basis of at least two incorrect answers.

Lloyds' underwriters have confirmed that the Unoccupied Property policy was provided on the basis of the information recorded in the Statement of Fact. Their position is that had that Statement recorded the true situation, they would've offered Mr M different cover – Holiday Home insurance. This wouldn't have provided cover for escape of water. They said:

"An Unoccupied Policy would not be suitable for someone living in the property. This is clearly set out in the policy wording and how the product is designed. It clearly states it is not suitable for a policyholder who occupies the property more than 7 days etc. The client never informed us that they were ever living in the property but had we known, then the Renewal wouldn't have been offered on the product as advised previously".

Therefore, as it's evident that Mr M made a careless misrepresentation at renewal, I can't fairly say that Lloyds have acted unreasonably by avoiding the policy and cancelling the claim and returning his insurance premium. They've provided evidence that they wouldn't have provided the Unoccupied Property insurance policy on any terms if they'd known all the details. So it was fair for them to avoid the policy and refuse the claim. But they must return the premiums, which they've done. And I consider that if Mr M had ever informed Lloyds of correct details they would've offered him the Holiday Home insurance, which wouldn't have provided cover for escape of water.

As I've said, I'm satisfied that Mr M didn't give correct details to Lloyds at either the 2019 inception or the 2020 renewal. And therefore he wouldn't have been eligible for the Unoccupied Property insurance policy. But even if he had been eligible for that cover, I think it's likely that Lloyds would've had other reasons to decline the claim. I'll explain why.

The Unoccupied Property insurance policy contained a "Water Turn Off Clause". This said:

It is a condition of this insurance that all water supplies to the home to be turned off at the mains. If you fail to comply with the condition above, this insurance will not cover loss or damage caused by escape of water from and frost damage to fixed water tanks, apparatus

or pipes.

Lloyds arranged for several inspections of the damage. They concluded that:

“either the stop cock was not turned off fully, or was letting by”.

So it’s also possible that Lloyds could’ve challenged the claim on the basis that they weren’t certain that Mr M had fully turned off the stop cock.

Additionally, under the general conditions of the policy, the house must be inspected internally at least every 30 days and a record kept of each visit. While Lloyds said visits appeared to have taken place, I understand that there are no records available. Therefore this condition was breached at least to some degree.

While I understand how badly Mr M has been affected by the incident, both emotionally and financially, I’m satisfied that Lloyds acted fairly when they avoided the policy from inception. Therefore I consider that they fairly declined the claim. And I don’t intend to uphold the complaint, or require Lloyds to take any further action.

Response to my provisional decision

Lloyds didn’t respond to my provisional decision.

Mr M didn’t agree with my provisional decision. He said he’d done the right thing when he bought the unoccupied house insurance policy to insure his house while working abroad for a long period of time. And felt let down by both his insurer and this service.

What I’ve decided – and why

I’ve considered all the available evidence and arguments to decide what’s fair and reasonable in the circumstances of this complaint.

Having carefully considered Mr M’s points, I’m not persuaded to change my opinion. I’m sorry that Mr M feels let down, but I remain of the view I set out in my provisional decision.

My final decision

For the reasons given above, I don’t uphold this complaint.

Under the rules of the Financial Ombudsman Service, I’m required to ask Mr M to accept or reject my decision before 4 July 2022.

Jo Occleshaw
Ombudsman